CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E0E12B141
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: John Viverito <john.viverito@enron.com>
Sent: Wed, 23 Aug 2000 18:48:00 -0700 (PDT)
To: Tana Jones <tana.jones@enron.com>
Cc: David Minns <david.minns@enron.com>, Mark Taylor <mark.taylor@enron.com>, Alan Aronowitz <alan.aronowitz@enron.com>, Susan Musch <susan.musch@enron.com>
Subject: Re: Japanese & Australian Products

Tana-

Further to my e-mail below, I note that the EOL US weather GTCs (where ENA is the counterparty) will require modification for use with Japanese counterparties. Presently, Brent Hendry is reviewing the draft EOL Japanese weather GTCs, which have been developed to utilize Enron Japan Corp. as the counterparty.

Cheers,

John
----- Forwarded by John Viverito/Corp/Enron on 08/24/2000 01:36 AM -----

John Viverito
08/24/2000 01:31 AM

To: Tana Jones/HOU/ECT@ECT
cc: David Minns/ENRON_DEVELOPMENT@ENRON_DEVELOPMENT@ECT, Mark Taylor/HOU/ECT@ECT, Alan Aronowitz/HOU/ECT@ECT, Susan Musch/ENRON_DEVELOPMENT@ENRON_DEVELOPMENT
Subject: Re: Japanese & Australian Products

Tana-

For weather derivatives conducted by Enron North America with counterparties in Japan:

1. There is a "relatively low risk" (quoting Baker & McKenzie) that such transactions will be considered gambling in Japan. However, such risk is deemed to be even lower, when utilizing an offshore entity. The risk has been determined to be sufficiently low to utilize Enron Japan Corp. as the Enron entity engaging in these transactions, therefore utilizing ENA should also be acceptable.

2. I note, there will be foreign exchange reporting requirements for the Japanese counterparty to the transaction, both at the time the transaction is entered into and each time a payment is made (or netted). There are no

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Japanese reporting requirements applicable to Enron North America. Further, a default by the Japanese counterparty in compliance with its reporting requirements will not effect the enforceability of the transaction.

3. I have copied Susan Musch on this correspondence, to obtain her input from the tax perspective.

Please let me know if you need anything further.

Cheers,

John

Tana Jones@ECT
08/23/2000 03:15 PM

To: David Minns/ENRON_DEVELOPMENT@ENRON_DEVELOPMENT, John Viverito/Corp/Enron@Enron
cc: Mark Taylor/HOU/ECT@ECT
Subject: Japanese & Australian Products

You both may already by aware of this, but the online team has contacted me and it is their desire to have the Japanese & Australian products also offered out of the U.S. by Enron North America. They would continue to be offered by their current companies, "Enron Australia" and "EnronJapan", but they want the products sold "24 hours a day" and I guess to do this they would be offered also by Enron North America. Do you see any legal issues from your side with a your Japanese or Australia products being offered by Enron North America too?

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